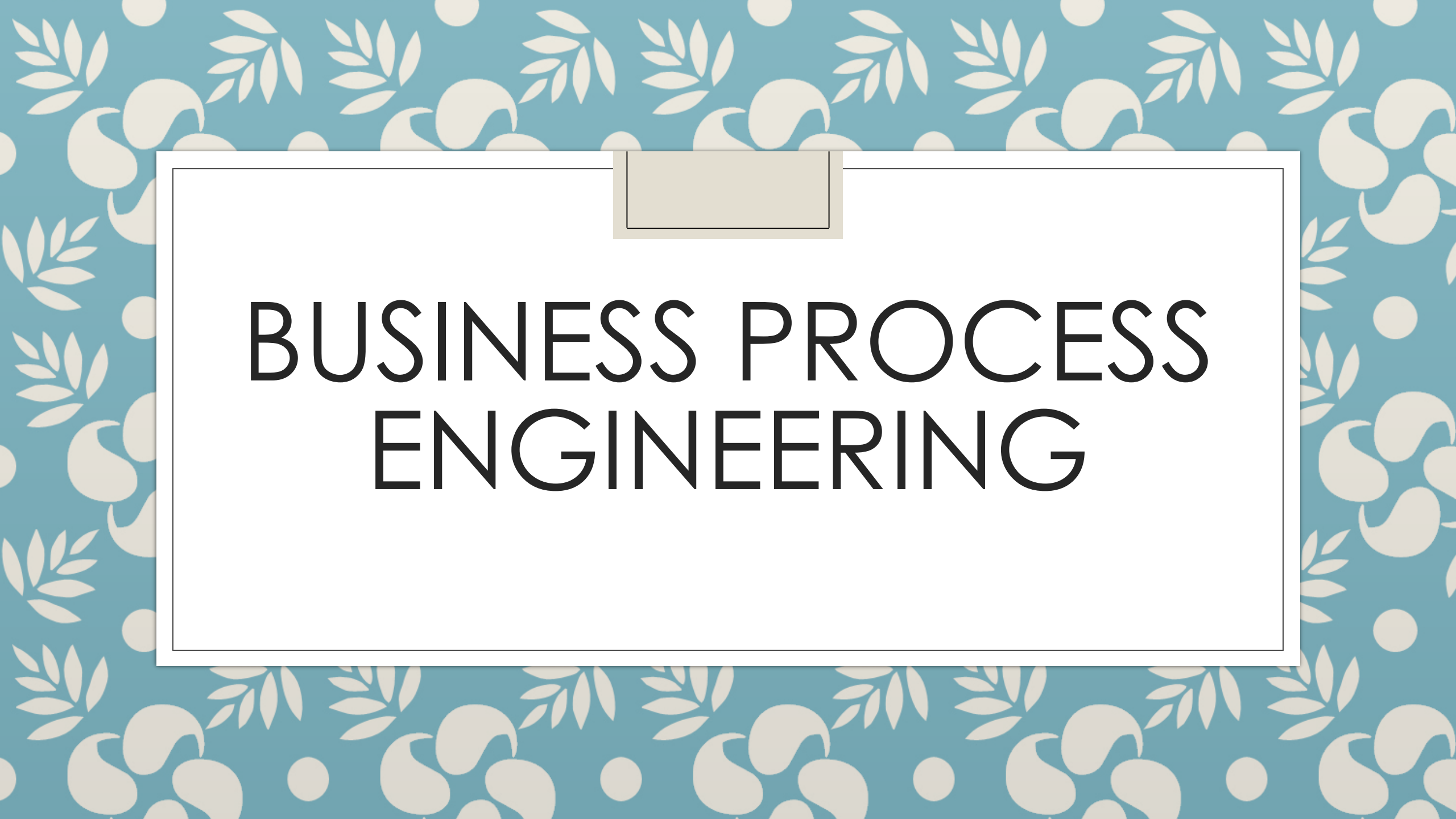




BUSINESS PROCESS ENGINEERING

What is Business Process Improvement?

- Business process improvement is an exercise in which leaders use different methods to analyze their procedures.
- Business process improvement (BPI) is an approach used to identify and evaluate inefficiencies within the organization.
- It focus on following:
 - redesigns existing business tasks
 - improving their effectiveness
 - enhances the workflows
 - optimizes performance.

WHAT DOES BUSINESS PROCESS IMPROVEMENT LOOK LIKE FOR YOU?

- Reduce the time it takes to get a campaign out the door with automated communication

Marketing

- Integrate your onboarding process with your HRMS to reduce manual data transfers

HR

- Add in conditional steps to get approvals for large orders over a certain value

SALES

- Improve response time to service requests by auto-assigning tickets to specialists

IT

BPI aims to pinpoint the skills or processes that need improvement in ensuring smooth procedures, efficient workflow, and business expansion

BPI Methodologies

- Implementing these following methodologies can help organizations overcome previous mentioned obstacles. The common BPI methodologies include:

- ✓ Lean management
- ✓ Six sigma
- ✓ Agile management
- ✓ Kaizen
- ✓ Total quality management

Lean Management

- **Lean Management:** Lean Management is a unique approach to identify waste. It involves employees and relies on continuous improvement to maximize customer value and minimize waste.
- The main purpose of lean management is to reduce factors that waste time, effort or money. The only way to manage with it is to analyze a business process and then revise it and cut out every step that does not create value for customers

Lean Principles

- Lean management principles include:
 - Defining value from the standpoint of the end customer.
 - Identifying each step in a business process and eliminating those steps that do not create value.
 - Making the value-creating steps occur in a tight sequence.
 - A pull system is characterized by work entering the workflow only when there is a demand for it
 - Repeating the first three steps on a continuous basis until all waste has been eliminated.



The Plan, Do, Check, Act methodology

Also known as the Deming Cycle, the Plan-Do-Check-Act cycle is a key instrument of the lean manufacturing toolkit.

- **1. Plan**
 - What is the core problem that needs solving?
 - What resources do we need?
 - What resources do we have?
 - What is the best solution for fixing the problem with the available resources?
- **2. Do**
 - Apply what was considered at the planning stage and put things into action
- **3. Check**
 - Audit your plan's execution and see if your initial plan worked. It will become clear what the more problematic parts of the process are, which can be eliminated later down the line.
- **4. Act**
 - If things didn't go so well, you'll need to begin the cycle again

Identify the value

- Value is every thing, that your customer is willing to pay.
- Identify Waste Activities and Where Value Is Added
- **seven types of waste:** TIMWOOD
 - Transport
 - Inventory
 - Motion
 - Waiting
 - Overproduction
 - Over-processing
 - Defects

3M Waste are:

- **MUDA** means Waste
- **MURA** means Inconsistency/Unevenness/Imbalance
- **MURI** means Strain/Overburden/Fatigue

MUDA means Waste

- MUDA stands for eliminating waste or non-value-added activities from the manufacturing process. It can be anything that does not add value from the customer's point of view.
- There are **7 types of MUDA** or **7 types of Waste** identified in the lean manufacturing process which is as follow:
 - MUDA of **Overproduction**
 - MUDA of **Process Itself/Over Processing**
 - MUDA of **Inventory/Stocks**
 - MUDA of **Transport**
 - MUDA of **Waiting**
 - MUDA of **Motion**
 - MUDA of **Defects**

Seven types of **Muda** or **7 types of Waste** are:

SNO	Factor	Example
01	Overproduction	occurs when items are manufactured before they are required.
02	Over Processing	occurs when more work is put into a product or service than is actually required.
03	Inventory	Inventory is important, but storing too many or too few supplies and finished goods increases costs and can take valuable space.
04	Transport	Transportation is the movement of products and supplies from one area to another.
05	Waiting	Waiting is when work or projects come to a halt or slow because machines have yet to finish producing the required goods, products have not arrived, or some other task is holding up the rest of the project.
06	Motion	Motion is the physical movement of a person or machine required to complete work.
07	Defects	Defects occur when errors and rework are created because of your processes.

Example

- **The Wastes In Lean Software Development**

Lean manufacturing	Lean software development
Transportation	Task switching
Inventory	Partially done work
Motion	Hand-offs
Waiting	Delays
Over production	Extra features
Over processing	Extra processing
Defects	Defects
Unused talent	Unused talent